FY2026 User Access Review · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

Client	HANGS Construction Services LLC
Period	Fiscal year ended June 30, 2026; user listings at July 31, 2026
Engagement	IT general controls for the year-end audit: user access, segregation of duties, privileged access, sign-in settings and change management over Ledgerwyn, Vellumrow, Charterfold and Quillpost.
Prepared from	12 files: the trial balance, the security and change policy, the HR roster, the June 30 access report, the four systems' user listings, the settings, the change log, the payment releases and management's answers
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was changed in any system or sent to the client or the board.

Materiality, Proposed

Contract revenue for the year, the benchmark	$68,989,500.00
Materiality: 0.5% of revenue, rounded down	$340,000.00
Performance materiality: 75%	$255,000.00
Payments released through Vellumrow in FY2026	$3,373,192.36

What the Procedures Found

Procedure	What was found	Amount
Privileged access	The Controller administers every system; a shared admin; entries posted with no review (ITGC-03, material weakness, proposed)	$8,045,083.44
Duties	The AP Specialist approved her own payments to vendors she set up (ITGC-02, significant deficiency, proposed)	$64,675.50
Duties	The payroll manager entered her own raise with no signed form (ITGC-02)	$10,000.00
Changes	An approval limit raised with no ticket, test or approval let these through (ITGC-05)	$54,815.50
Leavers	Three accounts of two leavers still active; one used after the last day (ITGC-01, deficiency)	—
Sign-in	Six-character Ledgerwyn passwords; six Quillpost accounts without multi-factor (ITGC-04, deficiency)	—
Review	No user access review since 2023 (ITGC-06, deficiency)	—

Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

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Draft Findings Memo

Against Materiality

Manual entries posted with no review (ITGC-03)	**$8,045,083.44**
Payments approved by their preparer (ITGC-02)	$64,675.50
Performance materiality	$255,000.00
Materiality	$340,000.00

What was done

The machine matched every account of the four systems to the HR roster, tested every leaver, reconciled the walkthroughs' June 30 access report, tested every person's rights for the policy's conflicting duties and read what they let through, listed every administrator and shared account, compared the sign-in settings with the policy and traced every change to its ticket, test and approval.

Management letter comments, draft

ITGC-01: disable every account of a leaver on the last day, from one checklist. ITGC-02: take the approval right from the AP Specialist, approve every vendor setup, review the payroll master changes every payroll. ITGC-03: give user administration to someone who posts nothing, retire the shared administrator, lock periods, turn on the approval step. ITGC-04: enforce the password policy and multi-factor sign-in everywhere. ITGC-05: every change through a ticket, a test and the CFO. ITGC-06: review access every year. Management's responses: to be obtained.

What the CPA decides before concluding

1. The severity of each deficiency, ITGC-03 above all, with the walkthroughs' findings (XREF-01). 2. What goes to the board in writing (RESP-01). 3. How the material weakness, if confirmed, changes the year-end procedures.

What the machine does not do

It does not give an opinion on internal control, change a setting or an account, sign anything or send the letter. The CPA concludes; the machine stops here.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$68,989,500.00

Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$340,000.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$255,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $255,000.00

=ROUND(B16*0.75,2)

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Duties · Payment Releases, FY2026

$3,373,192.36

Workbook: Duties!B24

Draft figure · the CPA reviews and concludes

Duties!B24 = $3,373,192.36

='E11 Payment Releases'!D64

E11 Payment Releases!D64 = $3,373,192.36

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Activity/Vellumrow payment releases FY2026.xlsx · Payment Releases!D64

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Duties · Payments Approved by Their Preparer (ITGC-02)

$64,675.50

Workbook: Duties!B23

Draft figure · the CPA reviews and concludes

Duties!B23 = $64,675.50

=SUM(B16:B22)

Duties!B16 = $18,600.00

='E11 Payment Releases'!D26

E11 Payment Releases!D26 = $18,600.00

Duties!B17 = $14,275.50

='E11 Payment Releases'!D41

E11 Payment Releases!D41 = $14,275.50

Duties!B18 = $21,940.00

='E11 Payment Releases'!D54

E11 Payment Releases!D54 = $21,940.00

Duties!B19 = $9,860.00

='E11 Payment Releases'!D59

E11 Payment Releases!D59 = $9,860.00

Duties!B20 = None

Duties!B21 = None

Duties!B22 = None

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Activity/Vellumrow payment releases FY2026.xlsx · Payment Releases!D26, Payment Releases!D41, Payment Releases!D54, Payment Releases!D59

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Duties · Unsigned Raise, a Year (ITGC-02)

$10,000.00

Workbook: Duties!D33

Draft figure · the CPA reviews and concludes

Duties!D33 = $10,000.00

=C33-B33

Duties!C33 = $98,000.00

='E07 Master File Changes'!E9

E07 Master File Changes!E9 = $98,000.00

Duties!B33 = $88,000.00

='E07 Master File Changes'!D9

E07 Master File Changes!D9 = $88,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 User Listings/Charterfold users and pay rate changes.xlsx · Master File Changes!E9, Master File Changes!D9

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Privileged Access · Manual Entries Posted With No Review (ITGC-03)

$8,045,083.44

Workbook: Privileged Access!B22

Draft figure · the CPA reviews and concludes

Privileged Access!B22 = $8,045,083.44

='E05 Manual Entries'!D8+'E05 Manual Entries'!D9+'E05 Manual Entries'!D10+'E05 Manual Entries'!D13+'E05 Manual Entries'!D14+'E05 Manual Entries'!D17+'E05 Manual Entries'!D18+'E05 Manual Entries'!D21+'E05 Manual Entries'!D22+'E05 Manual Entries'!D23+'E05 Manual Entries'!D26+'E05 Manual Entries'!D27+'E05 Manual Entries'!D30+'E05 Manual Entries'!D31+'E05 Manual Entries'!D34+'E05 Manual Entries'!D35+'

E05 Manual Entries!D8 = $274,413.75

E05 Manual Entries!D9 = $37,633.33

E05 Manual Entries!D10 = $166,035.00

E05 Manual Entries!D13 = $37,633.33

E05 Manual Entries!D14 = $179,564.00

E05 Manual Entries!D17 = $37,633.33

E05 Manual Entries!D18 = $321,642.00

E05 Manual Entries!D21 = $928,912.00

E05 Manual Entries!D22 = $37,633.33

E05 Manual Entries!D23 = $164,295.00

E05 Manual Entries!D26 = $37,633.33

E05 Manual Entries!D27 = $316,161.00

E05 Manual Entries!D30 = $37,633.33

E05 Manual Entries!D31 = $375,701.00

E05 Manual Entries!D34 = $1,119,919.00

E05 Manual Entries!D35 = $37,633.33

E05 Manual Entries!D36 = $265,288.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 User Listings/Ledgerwyn users, admin log and manual entries.xlsx · Manual Entries!D8, Manual Entries!D9, Manual Entries!D10, Manual Entries!D13, Manual Entries!D14, Manual Entries!D17

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Changes · Let Through by the Unapproved Change (ITGC-05)

$54,815.50

Workbook: Changes!B22

Draft figure · the CPA reviews and concludes

Changes!B22 = $54,815.50

=SUM(B18:B21)

Changes!B18 = $18,600.00

='E11 Payment Releases'!D26

E11 Payment Releases!D26 = $18,600.00

Changes!B19 = $14,275.50

='E11 Payment Releases'!D41

E11 Payment Releases!D41 = $14,275.50

Changes!B20 = $21,940.00

='E11 Payment Releases'!D54

E11 Payment Releases!D54 = $21,940.00

Changes!B21 = None

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Activity/Vellumrow payment releases FY2026.xlsx · Payment Releases!D26, Payment Releases!D41, Payment Releases!D54

DRAFT FOR THE CPA

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WHAT STILL NEEDS A PERSON

ITGC-03 · $8,045,083.44: Material weakness, proposed. The Controller administers Ledgerwyn, Vellumrow, Charterfold and Quillpost while she posts entries; the Ledgerwyn “admin” account is shared with Saltmarsh IT Services LLC; the Vellumrow vendor account stays enabled; the approval step is off and periods are never locked. 30 entries over $25,000, $8,045,083.44, had no second person (JE-01). Recommendation: give user administration to someone who posts nothing, retire the shared account, disable the vendor account, turn on the approval step and lock each period at close. The CPA decides the classification.

ITGC-02 · $64,675.50: Significant deficiency, proposed (with ITGC-05). Mei Northcott can set up vendors, prepare and approve payments; she approved 4 payments to vendors she set up herself, $64,675.50 (SOD-01). Renata Salazar can edit the employee master and process payroll and entered her own unsigned raise, $10,000.00 a year (PAY-01). Recommendation: remove the approval right, approve every vendor setup, run and sign the master file change report each payroll.

ITGC-05 · $54,815.50: Significant deficiency, proposed (with ITGC-02). Change VR-25-09 raised the AP Specialist’s approval limit from $10,000 to $25,000 on September 29, 2025 with no ticket, test or CFO approval (Q5). 3 later self-approved payments, $54,815.50, were above the old limit. Recommendation: every change, settings included, through a ticket, a test and the CFO’s approval.

ITGC-01: Deficiency. 3 accounts of leavers were still active on July 31, 2026: Ezra Tamayo in Ledgerwyn; Renzo Valloton in Charterfold; Ezra Tamayo in Quillpost. Ezra Tamayo signed in to email on June 12, 2026, after the last day. No transaction followed. Cause: no leaver checklist (Q1). Recommendation: disable every account on the last day from one checklist.

ITGC-04: Deficiency. Ledgerwyn passwords of six characters, no lockout and no multi-factor sign-in; 6 Quillpost accounts exempt from multi-factor sign-in, the AP Specialist’s among them (Q4); Charterfold passwords shorter than the policy. Recommendation: enforce the policy, and multi-factor sign-in for every account.

ITGC-06: Deficiency. No user access review since 2023 (Q2), against the policy’s yearly review. The review would have found ITGC-01 to ITGC-03. Recommendation: each system owner reviews every user’s rights each year and the CFO signs it.

XREF-01: The control walkthroughs proposed SOD-01 and JE-01 as significant deficiencies and asked whether together they are a material weakness. These listings show the access behind them and the change that widened it. The CPA weighs both areas together.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of revenue. The engagement partner sets it.

RESP-01: Management’s responses to the six comments, with owners and dates, have not been obtained. Significant deficiencies and material weaknesses go to the board in writing (AU-C 265); the CPA decides when.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion on internal control. Nothing has been changed in any system, signed, posted or sent.

This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.

DRAFT FOR THE CPA